expenditure distribution.

- It was updated to current price using CSO's PFCE deflator. It is nothing but what we seen in the chapter CSO - SNA.

PFCE deflator = PFCE of current year/ PFCE of base year

The previous poverty line is multiplied by this ratio to arrive at the current year's poverty line. This mere updating of the existing poverty line for price led to a problem of mismatch between the quantum of expenditure and nutritional value of that expenditure. The updated poverty line fell short to meet the required nutrition. This is called **'nutritional drift'.**

Expert group on estimation of Proportion and Number of Poor

- This expert group was constituted under the chairmanship of Prof. D.T.Lakdawala in 1989. It submitted its report in 1993.
- It recommended to discontinue the Planning Commission's adjusted consumption distribution based poverty line.
- It endorsed the methodology adopted by 1977 Task force under the Chairmanship of Dr. Y.K Alagh.
- It recommended that the year 1973-74 needs to be treated as base year.
- It also recommended to update rural poverty line using Consumer Price Index for Agricultural Labourers (CPI-AL) and urban poverty line by using Consumer Price Index for Industrial Worker (CPI-IW) and Consumer Price Index for Urban Non-Manual Employee (CPI-UNME)
- It also recommended sate specific poverty line using state specific prices.
- It also cautioned not to continue with 1977 task force methodology forever.

Expert Group to Review the methodology for Estimation of Poverty